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Happy Today! Chapter 7 - Conquering Barriers In this chapter of Rich Dad, Poor Dad, Robert Kiyosaki explains that obstacles to wealth creation can be categorized into five main areas: fear, cynicism, laziness, bad habits, and arrogance. He shares personal anecdotes and examples from his "Rich Dad" to demonstrate how these barriers can be overcome. Kiyosaki emphasizes the importance of a solution-focused mindset, acknowledging that risk is an inherent part of overcoming obstacles. He notes that everyone has faced setbacks at some point in their lives, whether it's learning to ride a bike or experiencing heartbreak. The five primary obstacles to financial literacy are: 1. Fear 2. Cynicism 3. Laziness 4. Bad Habits 5. Arrogance Managing Fear: "The fear of losing money is real... It's not having fear that's the problem; it's how you handle fear." (Robert Kiyosaki) Overcoming Cynicism: "Great courage is needed to not let rumors and talk of doom and gloom affect your doubts and fears." (Robert Kiyosaki) Conquering Laziness: "The cure for laziness? The answer is—a little greed." Breaking Bad Habits: "Our lives are a reflection of our habits... Forcing myself to think about how to make extra money is like going to the gym and working out with weights." Overcoming Arrogance: "What I know makes me money. What I don't know loses me money." (Robert Kiyosaki) As Robert Kiyosaki concludes, "I always tried to turn every disaster into an opportunity." · John D. Rockefeller The Rich Dad Poor Dad book is all about helping you become financially literate by learning from Robert Kiyosaki's valuable lessons. Let's break down some key points he shares to make financial sense of it all, and how they can help you increase your wealth. Rich people don't work for money; they let their assets do the work instead. This is clear when looking at income distribution. Between 2009-2012, a staggering 95% of income gains went to just 1% of the population - mostly entrepreneurs and investors who live off their wealth. Saving money isn't always a good idea, especially in today's economy where stock markets crash frequently. In fact, savers are often losers because they can lose everything if they invest it incorrectly. With three major crashes since 2000 (Dotcom Crash: 2000, Real Estate Crash: 2007, and Banking Crash: 2008), it's clear that investing wisely is crucial. Your home isn't a solid investment; it can actually be a liability in many cases. This was especially true after the real estate crash of 2007, which was caused by the rich creating complex financial products known as derivatives. These are essentially "financial weapons of mass destruction," and they led to the housing market collapse. The rich pay fewer taxes legally than others do because they've learned how to manage their wealth effectively. They work on generating passive income through investments rather than relying on a single job for all their earnings. Robert Kiyosaki had two dads with vastly different financial mindsets - one was wealthy and the other struggled financially despite both being hardworking and intelligent. This experience taught Kiyosaki the importance of learning from his rich dad's strategies to manage money effectively. It was tough for Robert Kiyosaki to decide which advice to follow from his two dads. Both were struggling financially, but one was rich and the other poor. This dilemma is common among people who are still in their early careers. Without financial education provided by schools, many people end up in debt. If millions of people need financial or medical assistance, government programs like Medicare and Social Security may run out of funds. Poor Dad believed that the wealthy should pay more taxes because they can afford it. Rich Dad disagreed, saying that high taxes reward those who produce wealth. Poor Dad thought studying hard would lead to a good job, while Rich Dad emphasized finding a good company to invest in. They also had differing views on having children, money, and risk-taking. One major difference was their approach to managing finances. Poor Dad believed in paying bills first and saving a little each month, whereas Rich Dad advised creating investments and paying bills last. Their philosophies were shaped by their experiences with money and business. The book Poor Dad: The Rich Don't Work for Money shares the author's personal story of growing up on the wrong side of the tracks but still wanting to make a fortune. He recounts how he befriended another poor boy, Mike, and together they sought ways to earn money. Their first venture wasn't successful, but it led them to seek guidance from Mike's rich dad. Rich Dad taught Robert Kiyosaki that the wealthy don't work for money; instead, money works for them. He learned valuable lessons through his experiences working for Rich Dad, who paid him 10 cents an hour to teach him about entrepreneurship and investing. Rich dad explained to Robert that learning is not just about school but also through life experiences. He said that most people consume education from books, which is less effective than hands-on learning. Rich Dad emphasized that there are two paths in life: one where you work for money and blame others for your problems, or another where you take control of your finances and become wealthy. The rich have the luxury of having their money work for them, while the poor and middle-class have to work hard to make ends meet. Rich dad also shared his philosophy on passion, which is a combination of anger and love. He said that fear controls employees, causing them to exploit themselves. Kids noticed Mrs. Martin tossing out comic book covers into a box on one Saturday. Since they weren't allowed to resell comics, they created a library where kids could read as many as they wanted for just 10 cents each day after school. They made around \$9.50 weekly, paying Mike's sister a dollar to manage the library. Despite a fight breaking out and being advised to shut down, they learned how to make money work for them instead of the other way around. Robert Kiyosaki retired at 47 with wealth that continues to grow automatically. He advises learning financial literacy, as it's not about how much you make but how much you keep. In his book Rich Dad, Poor Dad, he shares a story where nine wealthy leaders and businessmen experienced unfortunate ends due to the stock market crash of '29 and the Great Depression. The biggest financial lesson is understanding that assets put money in your pocket, while liabilities take it out. Assets add income, but liabilities increase expenses. A rich person's assets pay them an income, contrasting with the middle class who have jobs covering their expenses first. Examples of liabilities include mortgages, car loans, credit card debt, and school loans. Many wealthy people own various assets like real estate, stocks, bonds, notes, and intellectual property. However, those who are struggling financially often blame their situation on not having enough money rather than a lack of financial knowledge. This mindset is the main issue, as getting more money doesn't necessarily solve problems; it can even exacerbate them. When individuals receive unexpected wealth through events like winning the lottery or receiving a pay raise, they usually end up back in the same financial predicament. The key to success isn't about making more money but learning how to effectively manage what you have. This skill is referred to as financial aptitude. Most people focus on working hard instead of teaching their money to work hard for them. The poor and middle class often fall into a cycle of debt by buying bigger homes, which increases property taxes, and accumulating credit-card debt due to high living expenses. Taxes can be particularly burdensome for these groups because as salaries rise over time, so does social security tax. As a result, their financial situation becomes more precarious. In contrast, creating assets rather than liabilities is the secret to financial success. The concept of "making money" is really about generating wealth through asset creation. A well-known principle states that those who have the most wealth typically dictate the rules and make decisions in society. People may try to keep up with their peers by buying more expensive homes, working harder, or seeking promotions, but these strategies often lead to financial troubles. As teenagers, Robert Kiyosaki and his brother learned from their rich dad about how to manage finances effectively. They observed that he held meetings with professionals like bankers, attorneys, and accountants, demonstrating the importance of knowing more than what one does for a living. Rich dad emphasized the value of surrounding oneself with intelligent people who can provide valuable advice. Many view their home as an asset, but its value doesn't always appreciate. Some homes may be overpriced, leaving owners struggling to cover property taxes and other expenses. Robert Kiyosaki advises planning ahead by investing in assets that generate enough cash flow to pay for a bigger house. As one's asset column grows, so does their income. Employees contribute to three main groups: the company they work for (where owners profit), government through taxes, and banks with mortgage and credit-card debt. It's crucial to understand that wealth is about maintaining financial stability over time. The ability to survive a significant number of days forward without new income or resources is what truly defines wealth. The rich focus on their asset columns, while the poor and middle class focus on income statements and liabilities. To become wealthy, one needs a cash flow of at least \$2,000 per month in assets, unlike the average American who has less than \$400 in savings or none at all. The rich buy assets, while the poor only have expenses, and the middle class buys liabilities they think are assets. Chapter Three emphasizes the importance of mindng one's own business, as most people assume their profession is their business when in reality, it's just a job. Having a financial foundation means not being dependent on pay raises, second jobs, or overtime, but rather having control over your income and expenses. Entrepreneurship can be challenging, as Robert Kiyosaki experienced with loan committees struggling to understand why he owned assets without a salary or 9-to-5 job. He recommends keeping expenses low, reducing liabilities, and building solid assets. If children are encouraged to build assets before leaving home or getting caught in the rat race, they can avoid financial traps. Robert Kiyosaki lists various valuable assets such as businesses that don't require his presence, stocks, bonds, income-generating real estate, notes (IOUs), royalties from intellectual property, and more. He stresses the importance of loving what you own and taking care of it, even if it means keeping a day job. The goal is to build income-generating assets that can buy luxuries later on. People who prioritize buying luxuries first often end up in debt. Robert Kiyosaki's strategy involves selling stock within a year of going public, aiming for the entire company to be sold out quickly to avoid long-term financial responsibilities. Chapter Four delves into the history of taxes and the power of understanding taxation laws and strategies, which is crucial for building wealth and maintaining it over time. My wealthy stepfather played the financial game smartly, utilizing corporations as a key strategy - an often-unsuspected secret among the affluent. Many in the lower-income bracket express frustration by saying, "Why don't the rich contribute more to taxes?" or "The rich should pay higher taxes and distribute the funds to us poor." However, it's a little-known fact that true wealth holders rarely pay income tax. The burden of taxation falls heavily on the educated middle class, as they are often those who file tax returns. While my stepmother understood the historical importance of education, my wealthy stepfather was well-versed in the history of taxes, which originated as temporary measures to fund wars in England and America. In 1874, England made income tax a permanent requirement for its citizens, followed by the United States starting such taxation in 1913. Interestingly, initial tax policies targeted the wealthier classes, with governments initially promoting this idea to middle-class citizens to gain their support. The notion of taxing only the rich was how these laws were first passed. My stepmother's attitude towards spending and taxes was straightforward: she would spend her money freely and create jobs while earning the government's respect for its size. On the other hand, my wealthy stepfather believed in using his wealth wisely, hiring fewer people, and thus gaining more respect from investors through prudent financial decisions. The contrast between views on the rich was stark - to some, they were 'greedy crooks', while to others, they were simply providing jobs and housing as a result of their financial prowess. The truth is that wealthy individuals avoid tax burdens by using corporations effectively. Their assets earn income for these corporations, and the expenses from personal income statements can be used against corporate expenses. Despite the middle class's efforts to tax the rich, these individuals consistently find legal loopholes and employ skilled accountants and lawyers to minimize their tax liabilities. A significant section in the Internal Revenue Code known as 1031 allows sellers of real estate to delay paying taxes if they reinvest those funds into purchasing more valuable properties. By using this strategy, one can continuously accumulate wealth without incurring immediate tax liability until a final liquidation takes place. This understanding of financial laws and strategies highlights the different mindsets between entrepreneurs who are rewarded for financial efficiency and government bodies that fail to manage their budgets efficiently, risking losing allocated funds if they don't spend as much. The rich have the power to legally avoid taxes by identifying loopholes in tax legislation, which is an essential skill in real estate investment and other businesses. My stepfather's approach to wealth creation was fundamentally different from my mother's: he encouraged me to own the corporate ladder rather than simply climbing it. This mindset shift came about when I realized how disappointing it was to see my paychecks at Xerox increase but my deductions rise with them, a realization that pushed me towards following his financial strategies. By focusing on building an asset column and investing in real estate markets like Hawaii's, one can start their path towards financial independence. This journey requires dedication and the understanding of how corporations are used to minimize taxes legally. In order to be better than his colleagues at Xerox, a businessman took advantage of a business deal that gave him a higher salary. He got a Porsche, which is not a loan or commission payment. Having money and being rich are two different things. A person with good finances understands four key areas: accounting, investing, understanding markets, and the law. Accounting means knowing how to read numbers and making smart financial decisions. Investing is about making money from investments. Understanding markets means recognizing what people want and don't want at any given time. The law involves knowing tax laws that protect companies from lawsuits. Corporations can pay for anything before taxes but not individuals. This allows corporations to spend as much as they need to without being taxed on everything left over. A person can buy a car, insurance, and even go to the gym with expenses deducted from their taxes. Companies also help people protect themselves from lawsuits by keeping assets separate. The wealthy use this strategy while the poor don't have that option. People who work for corporations or own them need to understand financial IQ to succeed. They often blame business owners when they lose their jobs, but it's not always fair. A person can be brave or too scared to ask for what they want. Those who are afraid of failure will never succeed. Instead, the people who get ahead are those who dare to take risks and believe in themselves. Having good financial skills allows a person to have more options than others. It's better to build wealth over time rather than looking for just a raise. The past 300 years show that owning land or factories is not as valuable as having the right information at the right time. People who understand money and are creative with it will always come out on top. Some people have opportunities but fail because they don't know how to handle them. Others fail because they recognize an opportunity but can't make a decision about it. The average person should work hard, save their money, and borrow more rather than just working hard and saving. They need to get better at making smart financial decisions so they can earn more money. Money isn't real, only the things you buy with it are. If you train your mind well, it can create wealth for you. Today's savers are considered losers because interest rates have never been lower and banks now charge people for holding their money. The stock market and real estate were the focus of Robert Kiyosaki's investments, but he saw an opportunity in buying houses at a bankruptcy attorney's office. With his wife's \$1 million investment, they bought several properties through a friend who lent them \$2,000 with interest. They then sold one house for \$60,000 and kept the profit without using their own money. This successful deal earned Kiyosaki a \$40,000 profit from a promissory note. The timing of his investments was crucial, as he avoided three significant stock market crashes: 1989-1990, 2001-2002, and 2008-2009. These events were actually opportunities for investors, but many people were afraid to take the risk. Kiyosaki's financial success comes from real estate and small-cap stocks, which require developing financial intelligence. He believes that traditional investments, such as those requiring a high level of security, often result in lower gains due to "sanitization." A specific example of his successful strategy involved buying a house worth \$65,000 for \$45,000 and renting it out to generate \$40 per month. When the market recovered, he sold the property for \$95,000, deferring capital gains by using the funds to buy a bigger property. Kiyosaki's investment success is largely due to his ability to identify valuable opportunities and take calculated risks. He believes that the more sophisticated an investor becomes, the better the deals they can secure. With initial investments as low as \$5,000 or \$10,000, Kiyosaki has made millions over time. The key to success lies in learning from mistakes rather than being afraid of them. People who avoid failure often avoid success, and investors need to develop skills such as finding opportunities that others miss, raising capital outside of banks, and hiring smart people to help them make informed decisions. Don't Chase Money "For my father, job security was paramount. For me, learning and wealth creation were." During an interview, Robert Kiyosaki met a journalist who aspired to become a best-selling author. He advised her to pursue writing, but she felt undervalued when he suggested taking a sales course. The conversation ended abruptly. This story highlights that financial stability doesn't guarantee success. Many professionals struggle financially despite their expertise. A wise saying goes: "One skill away from great wealth." If you combine your skills with financial intelligence and other areas like investing or law, you can achieve prosperity. Rich dad emphasized the importance of diversifying one's knowledge. In traditional setups, specialists often get promotions. However, Robert Kiyosaki's rich dad encouraged his children to develop a broad range of skills. This led to Robert working in various departments within the company and learning from different professionals. When Robert quit his high-paying job, his poor dad struggled to understand his reasoning. The key difference was their values: job security versus continuous learning. Robert Kiyosaki's advice is to take on jobs that teach new skills instead of prioritizing salary. Many Americans fear outliving their savings during retirement. It's essential to plan ahead and consider long-term financial goals. The best approach is to pick up a second job or venture that teaches you something valuable. This might not be your passion, but it can lead to personal growth and increased earning potential. The story of an artist in Hawaii who inherited \$35,000 is a cautionary tale about misrepresentation and lack of sales experience. The artist used the money to run ads in a magazine targeting the rich but failed to attract any response, resulting in a complete loss of savings. This scenario highlights the importance of managing cash flow, systems, and people in achieving success. Robert Kiyosaki emphasizes that sales and marketing are crucial specialized skills for financial success, stating "Sales = Income." Many people fear rejection, which can lead to intimidation and avoidance of sales and marketing efforts. In contrast, Robert notes that those who give freely will receive more, exemplifying the Law of Money. The book also addresses overcoming obstacles, citing five core reasons why financially literate individuals fail to achieve financial independence: Fear, Cynicism, Laziness, Bad habits, and Arrogance. Robert's "Rich Dad" taught his sons to take risks at a young age, embracing an attitude that views risk as an opportunity to learn and grow. To become successful, one must adopt a focused approach, prioritizing one course of action until it is successful. This means ignoring doubts and negative remarks from others, instead following the advice of investors who see opportunities during times of economic downturn. Given text here The text describes the importance of financial education, making smart investments, and developing habits that lead to wealth and success. The author shares examples of how Richard's investment in a townhouse could have helped him escape the "Rat Race," highlighting the value of analyzing opportunities rather than getting caught up in negative thoughts. Rich Dad's philosophy emphasizes the need for self-discipline and self-awareness, encouraging individuals to think positively about their financial situation. He advises asking oneself "How can I afford it?" instead of "I can't afford it," which can open doors to new possibilities and excitement. The text also shares stories of individuals who have achieved success through dedication and hard work, such as the Olympic swimmer who trained every morning and on weekends. These examples illustrate the power of choice, self-discipline, and learning quickly to achieve one's goals. Ultimately, the author stresses the importance of mastering financial management and developing habits that prioritize wealth creation. By paying oneself first, choosing friends who share similar values, and studying what you want to do, individuals can overcome common obstacles and achieve financial freedom. To start your own business, prioritize cash flow by paying yourself first, just like those who pay themselves last end up using their money to cover expenses. Even if your income is lower than your bills, make sure you're taking care of yourself financially. Robert Kiyosaki, for instance, uses tenants to pay off his debts. To succeed in this approach, remember to: · Don't get into large debt positions that you have to pay for. Keep your expenses low. · Avoid dipping into your savings when faced with pressure; instead, use the stress as an opportunity to find new ways to increase your income. When it comes to professionals, invest in those who can help you make more money - like brokers, accountants, and attorneys. A good advisor can be a valuable asset to your business. Also, having a board of directors comprised of people smarter than you is crucial for making informed decisions. To get ahead financially, aim to acquire assets that provide something for nothing, such as a condominium or stock shares. When investing in an asset, look for opportunities where you can get something free, like the land underneath every McDonald's location. This mindset will help you focus on building wealth rather than just buying luxuries with liabilities like credit. Finally, choose heroes who inspire and motivate you to achieve your financial goals. Analyze deals the way Warren Buffett would, and tap into the raw genius of successful investors like him. And remember, when you teach others about money, you'll receive valuable insights and knowledge in return. Dad taught him that giving away time and knowledge is essential, but not money. According to Rich Dad, "If you want something, you first need to give." To achieve financial success, one must be willing to give up their time, knowledge, and energy. Chapter Nine encourages readers to stop doing what's not working and try new approaches. To learn more, it's essential to read how-to books, take classes, attend seminars, and find experts who have achieved success in areas you're interested in. Make multiple offers on properties you're interested in, leaving the deal-making up to the real estate agent. This strategy can help you find undervalued properties. Drive around a specific area regularly to discover hidden gems. Talk to locals, such as postal workers and retailers, to gain insight into neighborhoods. Shop for bargains by looking in the right places and negotiating deals with friends who are also interested in bulk purchases. Remember that history is full of examples where big companies started small. Take action instead of waiting for opportunities to pass you by. In the end, it's crucial to think big, be willing to take risks, and learn from your mistakes. A personal anecdote illustrates the importance of taking control of one's financial future. A friend was struggling to save enough for his children's college education, but after buying a property in Phoenix, he began making a significant income each month. By selling the property using a 1031 tax-deferred exchange and investing in other ventures, he was able to generate even more income and finally feel confident about being able to pay for his children's education. The key takeaway is that it's possible to achieve financial freedom with minimal initial investment. The path to financial independence lies in transforming ordinary earned income into passive or portfolio income, notes Warren Buffett. Rich dad emphasizes the importance of understanding the three types of income: earned, portfolio, and passive. He advises that one must know what kind of income to strive for, how to keep it, and how to protect it from loss. Failing to grasp these concepts will likely result in working harder than necessary and earning less than potential. The choices we make today determine our destiny and shape the future of our families.

Rich dad poor dad first chapter summary. Rich dad poor dad chapter 5 summary. The rich dad and the poor dad story. Rich daddy speed. Rich dad poor dad chapter 4 summary. Rich daddy final. Rich daddy slowed. Rich dad poor dad chapter 6 summary.